6. Capital formation

Capital formation is essential for rapid economic development. Tax relief helps to increase disposable income, savings and thereby capital formation. Government expenditure on infrastructure development like power and transport encourages private investment.

7. Regional balance

Fiscal incentives for industries in the backward regions help to narrow down regional imbalances. Public expenditure may be used to start industrial estates so that industrial activity is stimulated in backward regions.

Summary:

The science of public finance deals with the revenue and expenditure of the Centre, state and local Government. In modern times, this subject includes five major divisions: Public revenue, public expenditure, public debt, fiscal administration and Fiscal Policy. Thus, public finance plays a vital role in both developed and underdeveloped economies. In advanced or developed economies, there is a problem of economic instability due to either 'lack of demand' or 'excess of demand'. In under developed countries, fiscal policy is one of the instruments for achieving faster economic growth.

Fiscal Policy became popular after the Great Depression. Government's intervention was emphasised by J.M.Keynes to get the economies out of the Depression. There is close association between governments spending, private investment, interest rate, consumption and income growth.

Glossary

Tax: Compulsory payment paid by the citizens to the Government without any quid pro quo.

Quid pro quo: A favour or advantage granted in return for something.

Proportional Tax: Tax is imposed at the same rate irrespective of tax base

Progressive Tax: The rate of tax increases with the increase in tax base (income)

Regressive Tax: High rate of tax is levied on the poor and low rate is levied to the rich

Internal public debt: A loan taken by the Government from the citizens or from different institutions with in the country

External public debt: A loan taken from abroad or from an international organisation

Fiscal Policy: Policy related with the revenue and expenditure process of the Government

Deficit Budget: The gap between Government anticipated revenue and the targeted expenditure

Budget: It is an annual financial statement which shows the income and expenditure of the Government

Federal Finance: The system of assigning the source of revenue to the Central as well as State Governments.

Local Finance: Local finance refers to the finance of local bodies in India

12-Economics-Chapter_9.indd 207 23-12-2022 14:45:26